

Speaker Script

Earnings Surprise, Firm Valuation, and Market Efficiency: Evidence from China

FIN803 Corporate Finance Team

Slide 1: Title

Good afternoon everyone. We are presenting our FIN803 Corporate Finance project on earnings surprise, valuation adjustment, and market efficiency in China A-share stocks.

Slide 2: Motivation

Our motivation is to move away from a weak internal proxy design and toward a more defensible earnings-surprise framework. The key question is whether cleaner earnings-related surprises, measured relative to sell-side expectations, predict short-run abnormal return.

Slide 3: Research Question

Our research question is now framed more carefully. Instead of asking whether a noisy long-window drift exists, we ask whether earnings-related events in China A-shares generate short-run abnormal return once surprise is measured relative to stricter pre-event expectations.

Slide 4: Tushare-first Framework

The new framework is Tushare-first. We use `report_rc` for sell-side expectations, forecast and `forecast_vip` for management preannouncements, `express` and `express_vip` for earnings express releases, `fina_indicator` for formal realized data, and `daily_basic` for market controls and liquidity filters.

Slide 5: Why the Old Proxy Was Weak

The older guidance-only design inferred expectations from prior guidance, firm history, and industry heuristics. That is weaker than a direct sell-side benchmark and much harder to interpret as a clean expectation measure. So the old path is now retained only as legacy fallback, not as the headline design.

Slide 6: Event Types

We now separate events into preannouncements, revisions, express releases, and formal releases. This is important because these disclosures are not economically identical, and treating them as one noisy event pool would weaken identification.

Slide 7: Signal Construction

Our signal construction is also event-specific. We build forecast surprise, express surprise, and final surprise relative to `report_rc` expectations, then standardize within comparable event families. The main summary variable is `main_surprise_std`.

Slide 8: Controls and Filters

We also upgraded the control module. From `daily_basic` we now collect total market value, float market value, turnover, PE, PB, and PS. We retain sensible tradability filters such as ST exclusion, minimum listing history, valid event-day return, and positive event-day volume.

Slide 9: Regression Design

Our preferred regression explains CAR over multiple windows using standardized surprise, valuation and liquidity controls, industry fixed effects, year-quarter fixed effects, and event-type fixed effects, with firm-clustered standard errors. The headline window remains CAR5 because it is the cleanest short-run response window.

Slide 10: Current Test-Run Status

In the current implementation, the raw Tushare-first pull succeeds for forecast, express, `fina_indicator`, and `report_rc`. The legacy guidance fallback also runs successfully. The current bottleneck is that the strict matched-sample path remains tight, so usable Tushare-first sample coverage is still limited.

Slide 11: What Changed in the Code

On the code side, we added new modules for normalization, expectation alignment, event design, and panel outputs. We also added endpoint capability checks, audit outputs, and a clearer raw-to-processed directory structure. This makes the research workflow more reproducible and much easier to audit.

Slide 12: Why Coverage Is Now the Main Limitation

This is an important point. The stronger design improves identification by requiring strict pre-event sell-side matching for the same fiscal period. But that also reduces sample size and

coverage. So the main tradeoff is no longer p-values versus weaker proxies. It is sample purity versus sample breadth.

Slide 13: How to Interpret the Current State

The right interpretation is that the repository now reflects a much better research architecture, but the final headline result should still be cautious until the strict matched-sample coverage improves. That is a better academic position than overstating evidence from a weak proxy.

Slide 14: Legacy Path as Comparison

The old guidance-only path is still useful as a comparison benchmark and for reproducibility. But it should not be presented as the main contribution anymore, because the expectation measurement is weaker and the interpretation is less clean.

Slide 15: Final Conclusion

Our final conclusion is that a Tushare-first earnings-surprise framework is clearly more credible than the previous guidance-only proxy design. The right headline is not strong long-run inefficiency. The right headline is that cleaner short-run valuation-adjustment testing is now possible, but the strict matched-sample coverage remains the key empirical constraint.

Slide 16: Next Step

The next step is to keep improving the matched-sample coverage while preserving strict pre-event alignment and clean event separation. That way, the stronger research design can eventually support a stronger empirical headline without sacrificing credibility.